

stands for “last in, first out,” and FIFO stands for “first in, and first out.” If Handy and Harman bought some gold thirty years ago for \$40 an ounce, and yesterday they bought some gold for \$400 an ounce, and today they sell some gold for \$450 an ounce, then what is the profit? Under LIFO, it’s \$50 (\$450 minus \$400), and under FIFO it’s \$410 (\$450 minus \$40).

I could go on about this, but I think we’d quickly reach a point of diminishing returns, if we haven’t already. Two other popular accounting methods are GIGO (garbage in, garbage out), and FISH (first in, still here), which is what happens to a lot of inventories.

Whichever method is used, it’s possible to compare this year’s LIFO or FIFO value to last year’s LIFO or FIFO value to determine whether or not there’s been an increase or a decrease in the size of the inventory.

I once visited an aluminum company that had stockpiled so much unsold material that aluminum was stacked up to the ceiling inside the building, and outside it took up most of the employee parking lot. When workers have to park elsewhere so the inventory can be stored, it’s a definite sign of excessive inventory buildup.

A company may brag that sales are up 10 percent, but if inventories are up 30 percent, you have to say to yourself: “Wait a second. Maybe they should have marked that stuff down and gotten rid of it. Since they didn’t get rid of it, they might have a problem next year, and a bigger problem the year after that. The new stuff they make will compete with the old stuff, and inventories will pile up even higher until they’re forced to cut prices, and that means less profit.”

In an auto company an inventory buildup isn’t so disturbing because a new car is always worth something, and the manufacturer doesn’t have to drop the price very far to sell it. A \$35,000 Jaguar isn’t going to be marked down to \$3,500. But a \$300 purple miniskirt that’s out of style might not sell for \$3.

On the bright side, if a company has been depressed and the inventories are beginning to be depleted, it’s the first evidence that things have turned around.

It’s hard for amateurs and neophytes to have any feel for inventories and what they mean, but investors with an edge in a particular business will know how to figure this out. Whereas they didn’t have to do so five years ago, companies must now publish balance sheets in their quarterly reports to shareholders, so that the inventory numbers can be regularly monitored.

PENSION PLANS

As more companies reward their employees with stock options and pension benefits, investors are well-advised to consider the consequences. Companies don’t have to have pension plans, but if they do, the plans must comply with